

FOR NON ACCOUNTANTS



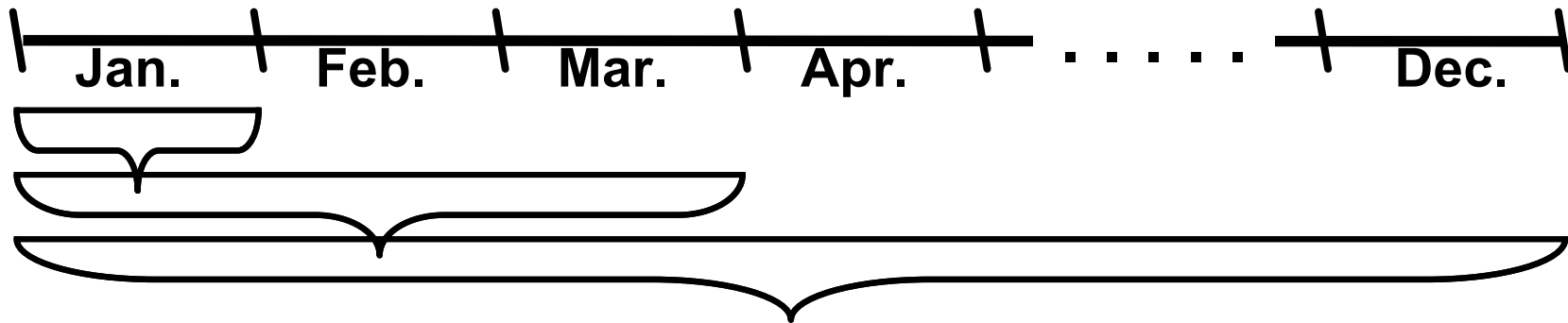
ACCOUNTING

ADJUSTING ENTRIES



Explain the accrual basis of accounting and the reasons for adjusting entries.

Accountants divide the economic life of a business into artificial time periods (**Time Period Assumption**).



Generally a

- **month**,
- **quarter**(3 months), or
- **year**.
- Management wants to see monthly financial statements/IRS wants annual tax return

Alternative Terminology

The time period assumption is also called the *periodicity assumption*.

Fiscal and Calendar Years

- Monthly and quarterly time periods are called **interim periods**.
- Most large companies must prepare both **quarterly** and **annual** financial statements.
- **Fiscal Year** = Accounting time period that is **one year** in length.
- **Calendar Year** = January 1 to December 31.

Accrual- versus Cash-Basis Accounting

Accrual-Basis Accounting: whatever happens in business, record it.

- Transactions recorded in the **periods in which the events occur.**
- Companies **recognize revenues when they perform services** (rather than when they receive cash).
- **Expenses** are recognized when **incurred** (rather than when paid).
- In accordance with **generally accepted accounting principles (GAAP).**

Accrual- versus Cash-Basis Accounting

Cash-Basis Accounting

- **Revenues** recognized when **cash** is received.
- **Expenses** recognized when **cash** is paid.
- Cash-basis accounting is **not in accordance with generally accepted accounting principles (GAAP)**.
- Only acceptable for small business because they have few receivables and payables

Recognizing Revenues and Expenses

Two principles help in Accrual basis Accounting

REVENUE RECOGNITION PRINCIPLE

Recognize revenue in the accounting period in which the **performance obligation** is satisfied.

Revenue is recognized when it is earned, not when cash is received.

Example:

Dave's Dry Cleaning cleans clothing on June 30 but customers do not claim and pay for their clothes until the first week of July. Dave's should record revenue in June when it performed the service (satisfied the performance obligation) rather than in July when it received the cash.

Recognizing Revenues and Expenses

EXPENSE RECOGNITION PRINCIPLE

Match expenses with revenues in the period when the company makes efforts that generate those revenues.

The critical issue in expense recognition is when the expense makes its contribution to revenue. This may or may not be the same period in which the expense is paid.

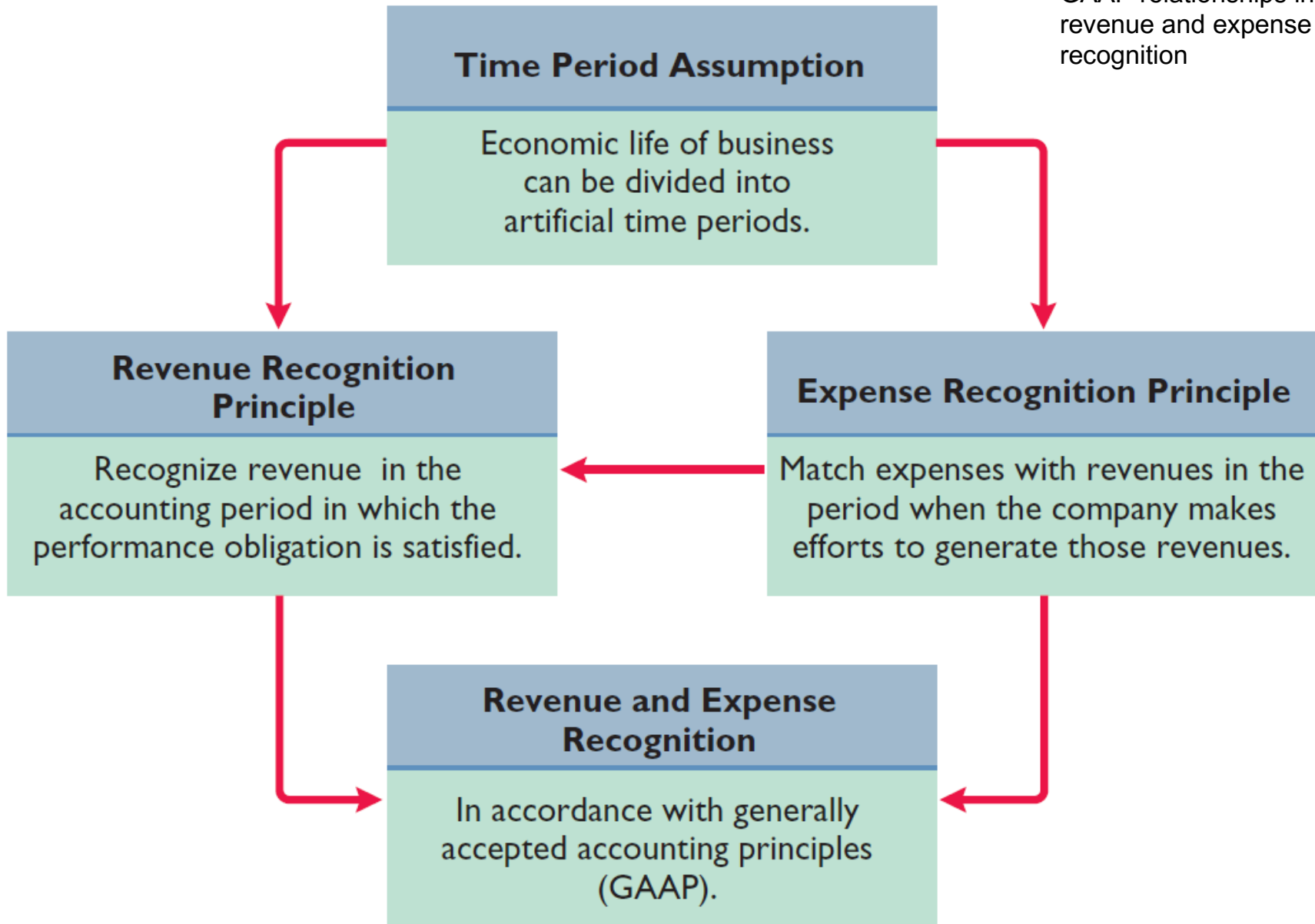
“Let the expenses follow the revenues.”

Example:

If Dave's does not pay the salary incurred on June 30 until July, it would report salaries payable on its June 30 balance sheet.

Expense is recognized when it is incurred, not when cash is paid.

Illustration 3-1
GAAP relationships in
revenue and expense
recognition



The Need for Adjusting Entries

Adjusting Entries

- Ensure that the **revenue recognition** and **expense recognition** principles are followed.
- Necessary because the **trial balance may not contain up-to-date** and complete data.
- **Required** every time a company prepares financial statements.
- Will include **one income statement account** and **one balance sheet account**.

The Need for Adjusting Entries

Adjusting entries are necessary because the trial balance—the first pulling together of the transaction data—may not contain up-to-date and complete data. This is true for several reasons:

- **Some events are not recorded daily** because it is not efficient to do so. Examples are the use of supplies and the earning of wages by employees.
- **Some costs are not recorded during the accounting period because these costs expire with the passage of time** rather than as a result of recurring daily transactions. Examples are charges related to the use of buildings and equipment, rent, and insurance.
- **Some items may be unrecorded.** An example is a utility service bill that will not be received until the next accounting period.

Adjusting entries are classified as Deferrals or Accruals

Illustration 3-2
Categories of adjusting entries

Deferrals

1. **Prepaid Expenses.** Expenses paid in cash before they are used or consumed.
2. **Unearned Revenues.**
Cash received before services are performed.

Accruals

1. **Accrued Revenues.**
Revenues for services performed but not yet received in cash or recorded.
2. **Accrued Expenses.**
Expenses incurred but not yet paid in cash or recorded.

A for Accrual = After (money comes after)

D for Deferral = During (money came during or before but isn't earned/used yet)

Types of Adjusting Entries

Trial Balance – Each account is analyzed to determine whether it is complete and up-to-date.

This is the unadjusted trial balance which will be adjusted with the following adjusting entries

PIONEER ADVERTISING		
Trial Balance		
October 31, 2017		
	Debit	Credit
Cash	\$ 15,200	
Supplies	2,500	
Prepaid Insurance	600	
Equipment	5,000	
Notes Payable		\$ 5,000
Accounts Payable		2,500
Unearned Service Revenue		1,200
Owner's Capital		10,000
Owner's Drawings	500	
Service Revenue		10,000
Salaries and Wages Expense	4,000	
Rent Expense	900	
	<u>\$28,700</u>	<u>\$28,700</u>

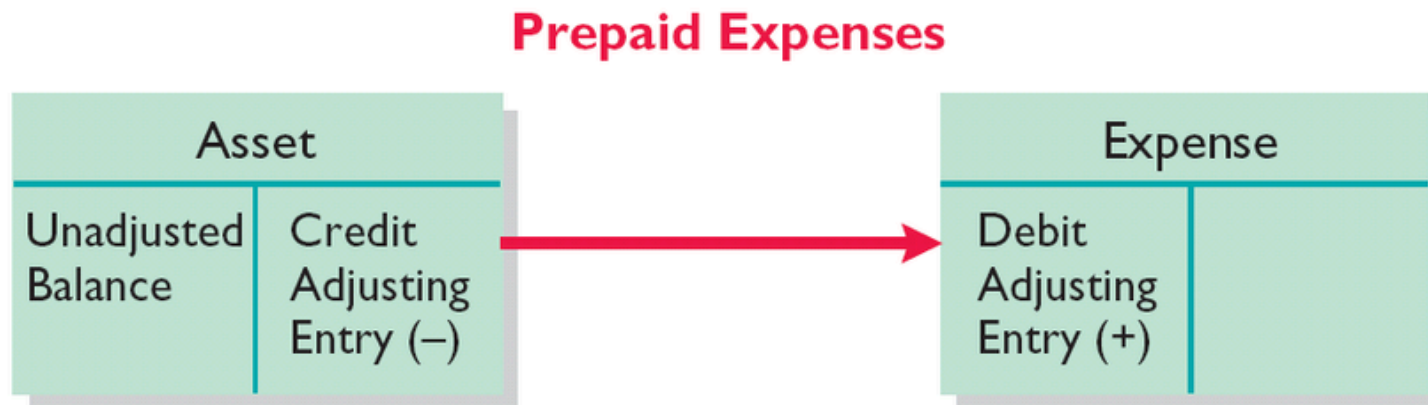
Deferrals are **expenses or revenues** that are recognized at a date **later than the point when cash was originally exchanged**. There are **two types**:

- **Prepaid expenses**
- **Unearned revenues**

Prepaid Expenses

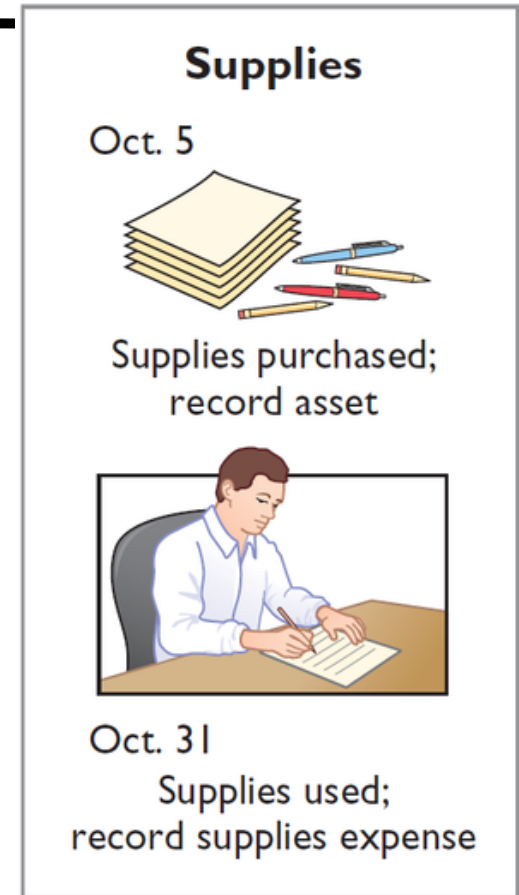
- Expire either with the passage of time or through use.
- Adjusting entry:
 - **Increase** (debit) to an **expense account** and
 - **Decrease** (credit) to an **asset account**.

Illustration 3-4



Supplies

Illustration: Pioneer Advertising purchased supplies costing \$2,500 on October 5. Pioneer recorded the payment by increasing (debiting) the asset Supplies. This account shows a balance of \$2,500 in the October 31 trial balance. An inventory count at the close of business on October 31 reveals that \$1,000 of supplies are still on hand.



Oct. 31	Supplies Expense	1,500	
	Supplies		1,500

Supplies

Illustration 3-5

Basic
Analysis

The expense Supplies Expense is increased \$1,500, and the asset Supplies is decreased \$1,500.

Equation
Analysis

$$(1) \quad \begin{array}{c} \text{Assets} \\ \hline \text{Supplies} \\ \hline -\$1,500 \end{array} = \begin{array}{c} \text{Liabilities} \\ \hline \end{array} + \begin{array}{c} \text{Owner's Equity} \\ \hline \text{Supplies Expense} \\ \hline -\$1,500 \end{array}$$

Debit–Credit
Analysis

Debits increase expenses: debit Supplies Expense \$1,500.
Credits decrease assets: credit Supplies \$1,500.

Journal
Entry

Oct. 31	Supplies Expense Supplies (To record supplies used)	1,500	1,500
---------	---	-------	-------

Posting

Supplies				126
Oct. 5	2,500	Oct. 31	Adj. 1,500	
Oct. 31	Bal. 1,000			

Supplies Expense				631
Oct. 31	Adj. 1,500			
Oct. 31	Bal. 1,500			

supplies on hand

supplies used

Insurance

Illustration: On October 4, Pioneer Advertising paid \$600 for a one-year fire insurance policy. Coverage began on October 1. Pioneer recorded the payment by increasing (debiting) Prepaid Insurance. This account shows a balance of \$600 in the October 31 trial balance. Insurance of \$50 ($\$600 \div 12$) expires each month.

Oct. 31	Insurance Expense	50
	Prepaid Insurance	50

Insurance

Oct. 4



Insurance purchased;
record asset

Insurance Policy			
Oct \$50	Nov \$50	Dec \$50	Jan \$50
Feb \$50	March \$50	April \$50	May \$50
June \$50	July \$50	Aug \$50	Sept \$50
1 YEAR \$600			

Oct. 31

Insurance expired;
record insurance expense

Insurance

Illustration 3-6

Basic
Analysis

The expense Insurance Expense is increased \$50, and the asset Prepaid Insurance is decreased \$50.

Equation
Analysis

$$(2) \quad \begin{array}{c} \text{Assets} \\ \hline \text{Prepaid Insurance} \\ \hline -\$50 \end{array} = \begin{array}{c} \text{Liabilities} \\ \hline \end{array} + \begin{array}{c} \text{Owner's Equity} \\ \hline \text{Insurance Expense} \\ \hline -\$50 \end{array}$$

Debit-Credit
Analysis

Debits increase expenses: debit Insurance Expense \$50.
Credits decrease assets: credit Prepaid Insurance \$50.

Journal
Entry

Oct. 31	Insurance Expense	50	
	Prepaid Insurance		50
	(To record insurance expired)		

Posting

Prepaid Insurance				130
Oct. 4	600	Oct. 31	Adj. 50	
Oct. 31	Bal. 550			

Insurance Expense				722
Oct. 31	Adj. 50			
Oct. 31	Bal. 50			

unexpired cost for remaining 11 months

Depreciation

- **Buildings, equipment, and motor vehicles** (assets that provide service for many years) are **recorded as assets**, rather than an expense, on the date acquired.
- **Depreciation** is the process of **allocating the cost of an asset to expense** over its **useful life**.
- Depreciation **does not attempt** to report the actual change in the **value of the asset**.
 - **Allocation concept**, not a valuation concept.

Need for Depreciation Adjustment

The acquisition of long-lived assets is essentially a longterm prepayment for the use of an asset. An adjusting entry for depreciation is needed to **recognize the cost that has been used** (an expense) during the period and to **report the unused cost** (an asset) at the end of the period.

Depreciation

Illustration: For Pioneer Advertising, assume that depreciation on the equipment is \$480 a year, or \$40 per month.

Oct. 31

Depreciation expense	40	
Accumulated depreciation		40

Accumulated Depreciation is called a **contra asset account**.

Depreciation

Oct. 2



Equipment purchased;
record asset

Equipment			
Oct \$40	Nov \$40	Dec \$40	Jan \$40
Feb \$40	March \$40	April \$40	May \$40
June \$40	July \$40	Aug \$40	Sept \$40
Depreciation = \$480/year			

Oct. 31

Depreciation recognized;
record depreciation expense

Depreciation

Accumulated Depreciation is called a **contra asset account**.

A contra asset account is an account that is used to reduce the balance of a related asset account on the financial statements. It has a credit balance, which is the opposite of the normal debit balance of asset accounts.

Purpose: To show a more accurate book value of assets.

Balance Type: Credit balance (opposite of assets).

Reported on: The balance sheet, usually directly below or next to the related asset.

This helps users of financial statements see both the original cost and how much has been "used up" or is uncollectible.

Basic
Analysis

The expense Depreciation Expense is increased \$40, and the contra asset Accumulated Depreciation—Equipment is increased \$40.

Equation
Analysis

<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Owner's Equity</u>
Accumulated Depreciation—Equipment	=			Depreciation Expense
—\$40				—\$40

Debit–Credit
Analysis

Debits increase expenses: debit Depreciation Expense \$40.
Credits increase contra assets: credit Accumulated Depreciation—Equipment \$40.

Journal
Entry

Oct. 31	Depreciation Expense Accumulated Depreciation—Equipment (To record monthly depreciation)	40	40
---------	--	----	----

Posting

	Equipment	157
Oct. 2	5,000	
Oct. 31	Bal. 5,000	

	Accumulated Depreciation— Equipment	158
	Oct. 31	Adj. 40
	Oct. 31	Bal. 40

	Depreciation Expense	711
Oct. 31	Adj. 40	
Oct. 31	Bal. 40	

Depreciation

STATEMENT PRESENTATION

- Accumulated Depreciation is a **contra asset account** (credit).
- **Offsets related asset account** on the balance sheet.
- **Book value** is the difference between the cost of any depreciable asset and its accumulated depreciation.

Illustration 3-8

Equipment	\$ 5,000
Less: Accumulated depreciation—equipment	40
	<u>\$4,960</u>

Prepaid Expenses

Summary of the accounting for prepaid expenses.

ACCOUNTING FOR PREPAID EXPENSES

<u>Examples</u>	<u>Reason for Adjustment</u>	<u>Accounts Before Adjustment</u>	<u>Adjusting Entry</u>
Insurance, supplies, advertising, rent, depreciation	Prepaid expenses recorded in asset accounts have been used.	Assets overstated. Expenses understated.	Dr. Expenses Cr. Assets or Contra Assets

Illustration 3-9

Accounting for prepaid expenses

Unearned Revenues

Receipt of cash that is recorded as a liability because the service has not been performed.

Cash Receipt

BEFORE

Revenue Recorded

Unearned revenues often occur in regard to:

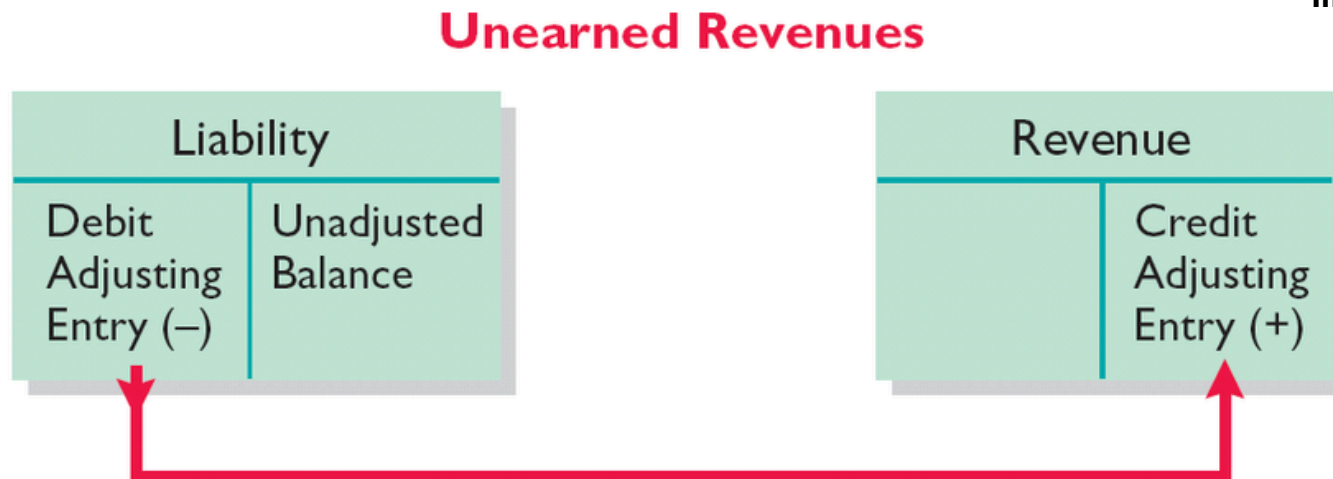
- Rent
- Magazine subscriptions
- Airline tickets
- Customer deposits

Unearned Revenue is opposite of Prepaid Expense

Unearned Revenues

- Adjusting entry is made to **record the revenue** for services performed during the period and to show the liability that remains at the end of the period.
- Results in a **decrease** (debit) to a **liability account** and an **increase** (credit) to a **revenue account**.

Illustration 3-10



Unearned Revenues

Illustration: Pioneer Advertising received \$1,200 on October 2 from R. Knox for advertising services expected to be completed by December 31. Unearned Service Revenue shows a balance of \$1,200 in the October 31 trial balance. Analysis reveals that the company performed \$400 of services in October.

Oct. 31	Unearned Service Revenue	400
	Service Revenue	400

Unearned Revenues

Oct. 2



Cash is received in advance;
liability is recorded



Oct. 31

Some service has been
performed; some revenue
is recorded

Unearned Revenues

Illustration 3-11

Basic
Analysis

The liability Unearned Service Revenue is decreased \$400, and the revenue Service Revenue is increased \$400.

Equation
Analysis

$$\begin{array}{rcl}
 \text{Assets} & = & \text{Liabilities} + \text{Owner's Equity} \\
 \hline
 & & \begin{array}{l} \text{Unearned} \\ \text{Service Revenue} \\ -\$400 \end{array} + \begin{array}{l} \text{Service Revenue} \\ +\$400 \end{array}
 \end{array}$$

Debit–Credit
Analysis

Debits decrease liabilities: debit Unearned Service Revenue \$400.
Credits increase revenues: credit Service Revenue \$400.

Journal
Entry

Oct. 31	Unearned Service Revenue	400	
	Service Revenue		400
	(To record revenue for services performed)		

Posting

Unearned Service Revenue				Service Revenue			
			209				400
Oct. 31	Adj. 400	Oct. 2	1,200		Oct. 3	10,000	
					31	Adj. 400	
		Oct. 31	Bal. 800		Oct. 31	Bal. 10,400	

Remaining prepaid service to be performed

LO 2

Unearned Revenues

Summary of the accounting for unearned revenues.

Illustration 3-12

ACCOUNTING FOR UNEARNED REVENUES

Examples	Reason for Adjustment	Accounts Before Adjustment	Adjusting Entry
Rent, magazine subscriptions, customer deposits for future service	Unearned revenues recorded in liability accounts are now recognized as revenue for services performed.	Liabilities overstated. Revenues understated.	Dr. Liabilities Cr. Revenues

Accounting Across the Organization

Best Buy



© Skip ODonnell/iStockphoto

Turning Gift Cards into Revenue

Those of you who are marketing majors (and even most of you who are not) know that gift cards are among the hottest marketing tools in merchandising today. Customers purchase gift cards and give them to someone for later use. In a recent year, gift-card sales topped \$95 billion.

Although these programs are popular with marketing executives, they create account-

ing questions. Should revenue be recorded at the time the gift card is sold, or when it is exercised? How should expired gift cards be accounted for? In a recent balance sheet, **Best Buy** reported unearned revenue related to gift cards of \$428 million.

Source: Robert Berner, "Gift Cards: No Gift to Investors," *BusinessWeek* (March 14, 2005), p. 86.

Suppose that Robert Jones purchases a \$100 gift card at Best Buy on December 24, 2016, and gives it to his wife, Mary Jones, on December 25, 2016. On January 3, 2017, Mary uses the card to purchase \$100 worth of CDs. When do you think Best Buy should recognize revenue and why? (Go to **WileyPLUS** for this answer and additional questions.)

DO IT!

2

Adjusting Entries for Deferrals

The ledger of Hammond Company, on March 31, 2017, includes these selected accounts before adjusting entries are prepared.

	<u>Debit</u>	<u>Credit</u>
Prepaid Insurance	\$ 3,600	
Supplies	2,800	
Equipment	25,000	
Accumulated Depreciation—Equipment		\$5,000
Unearned Service Revenue		9,200

An analysis of the accounts shows the following.

1. Insurance expires at the rate of \$100 per month.
2. Supplies on hand total \$800.
3. The equipment depreciates \$200 a month.
4. During March, services were performed for one-half of the unearned service revenue.

Prepare the adjusting entries for the month of March.

DO IT!

2

Adjusting Entries for Deferrals

Solution

1. Insurance Expense	100	
Prepaid Insurance		100
(To record insurance expired)		
2. Supplies Expense	2,000	
Supplies		2,000
(To record supplies used)		
3. Depreciation Expense	200	
Accumulated Depreciation—Equipment		200
(To record monthly depreciation)		
4. Unearned Service Revenue	4,600	
Service Revenue		4,600
(To record revenue for services performed)		

Accruals are made to record

- **Revenues** for services performed but not yet recorded at the statement date.
- **Expenses** incurred but not yet paid or recorded at the statement date.

Accrued Revenues

Revenues for services performed but not yet received in cash or recorded.

Revenue Recorded

BEFORE

Cash Receipt

Accrued revenues often occur in regard to:

- Rent
- Interest
- Services

Accrued Revenues

- Accrued revenues may accumulate (accrue) with the passing of time, as in the case of interest revenue. These are unrecorded because the earning of interest does not involve daily transactions. Companies do not record interest revenue on a daily basis because it is often impractical to do so.

Scenario:

Suppose a company lends \$10,000 to another company on December 1 at an annual interest rate of 6%, and interest is payable annually.

Even though the interest is earned gradually each day, the company won't receive or record it daily. But when preparing financial statements as of December 31, they must recognize that one month's worth of interest has been earned even though it's not yet received.

Calculation:

Annual interest = $\$10,000 \times 6\% = \600

One month's interest = $\$600 \div 12 = \50

Accrued Revenues

- Accrued revenues also may result from services that have been performed but not yet billed nor collected, as in the case of commissions and fees. These may be unrecorded because only a portion of the total service has been performed and the clients will not be billed until the service has been completed.

Scenario:

A consulting firm provides a 3-month service contract from November 1 to January 31 for \$9,000. The client will be billed only after the service ends in January.

By December 31, the firm has already provided 2 months of services.

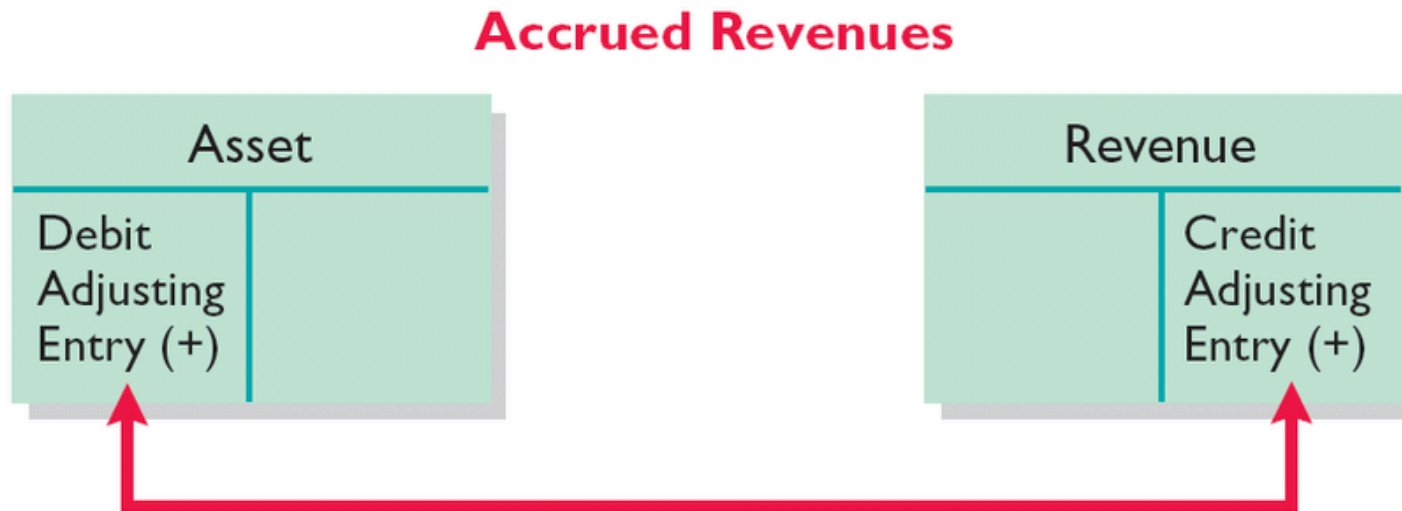
Revenue earned:

Monthly fee = $\$9,000 \div 3 = \$3,000$

Revenue earned by Dec 31 = $2 \times \$3,000 = \$6,000$

Accrued Revenues

- Adjusting entry for accrued revenue:
 1. shows the **receivable** that exists at the balance sheet date
 2. records the **revenues for services performed** during the period.
- Adjusting entry:
 - **Increases** (debits) an **asset account** and
 - **Increases** (credits) a **revenue account**.

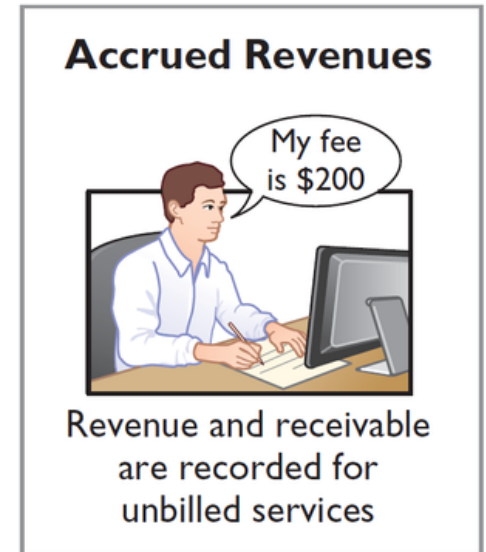


Accrued Revenues

Illustration: In October Pioneer Advertising performed services worth \$200 that were not billed to clients on or before October 31.

Oct. 31

Accounts Receivable	200	
Service Revenue		200



On November 10, Pioneer receives cash of \$200 for the services performed.

Nov. 10	Cash	200	
	Accounts Receivable		200

Accrued Revenues

Illustration 3-14

Basic Analysis

The asset Accounts Receivable is increased \$200, and the revenue Service Revenue is increased \$200.

Equation Analysis

$$\begin{array}{c}
 \text{Assets} \\
 \hline
 \text{Accounts Receivable} \\
 +\$200
 \end{array}
 =
 \begin{array}{c}
 \text{Liabilities} \\
 \hline
 \end{array}
 +
 \begin{array}{c}
 \text{Owner's Equity} \\
 \hline
 \text{Service Revenue} \\
 +\$200
 \end{array}$$

Debit-Credit Analysis

Debits increase assets: debit Accounts Receivable \$200.
Credits increase revenues: credit Service Revenue \$200.

Journal Entry

Oct. 31	Accounts Receivable	200	
	Service Revenue		200
	(To record revenue for services performed)		

Posting

Accounts Receivable		112	Service Revenue		400
Oct. 31	Adj. 200		Oct. 3	10,000	
			31	400	
			31	Adj. 200	
Oct. 31	Bal. 200		Oct. 31	Bal. 10,600	

Accrued Revenues

Summary of the accounting for accrued revenues.

Illustration 3-15

ACCOUNTING FOR ACCRUED REVENUES

<u>Examples</u>	<u>Reason for Adjustment</u>	<u>Accounts Before Adjustment</u>	<u>Adjusting Entry</u>
Interest, rent, services	Services performed but not yet received in cash or recorded.	Assets understated. Revenues understated.	Dr. Assets Cr. Revenues

Accrued Expenses

Expenses incurred but not yet paid in cash or recorded.

Expense Recorded

BEFORE

Cash Payment

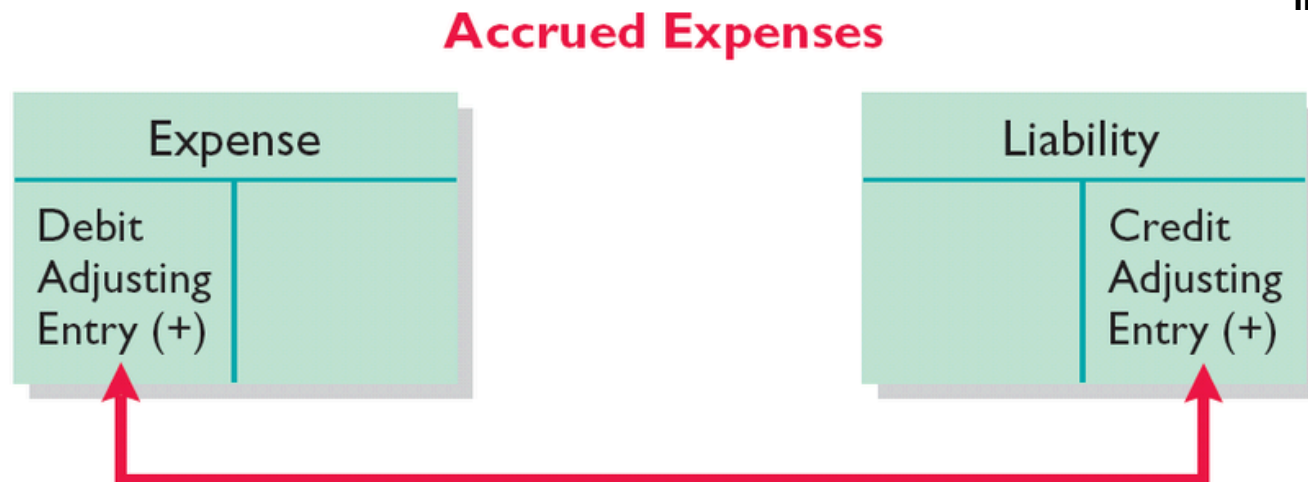
Accrued expenses often occur in regard to:

- Rent
- Interest
- Taxes
- Salaries

Accrued Expenses

- Adjusting entry records :
 - 1.the obligation that exist at the balance sheet date
 - 2.recognizes the expense of current accounting period
- Adjusting entry:
 - **Increase** (debit) an **expense account** and
 - **Increase** (credit) a **liability account**.

Illustration 3-16



Accrued Expenses

ACCRUED INTEREST

Illustration: Pioneer Advertising signed a three-month note payable in the amount of \$5,000 on October 1. The note requires Pioneer to pay interest at an annual rate of 12%.

Illustration 3-17

Face Value of Note	×	Annual Interest Rate	×	Time in Terms of One Year	=	Interest
\$5,000	×	12%	×	$\frac{1}{12}$	=	\$50

Oct. 31	Interest expense	50	
	Interest payable		50

Accrued Expenses

Illustration 3-18

Basic
Analysis

The expense Interest Expense is increased \$50, and the liability Interest Payable is increased \$50.

Equation
Analysis

$$\begin{array}{c} \text{Assets} \\ \hline \end{array} = \begin{array}{c} \text{Liabilities} \\ \hline \text{Interest Payable} \\ +\$50 \end{array} + \begin{array}{c} \text{Owner's Equity} \\ \hline \text{Interest Expense} \\ -\$50 \end{array}$$

Debit–Credit
Analysis

Debits increase expenses: debit Interest Expense \$50.
Credits increase liabilities: credit Interest Payable \$50.

Journal
Entry

Oct. 31	Interest Expense	50	
	Interest Payable		50
	(To record interest on notes payable)		

Posting

Interest Expense			905
Oct. 31	Adj. 50		
Oct. 31	Bal. 50		

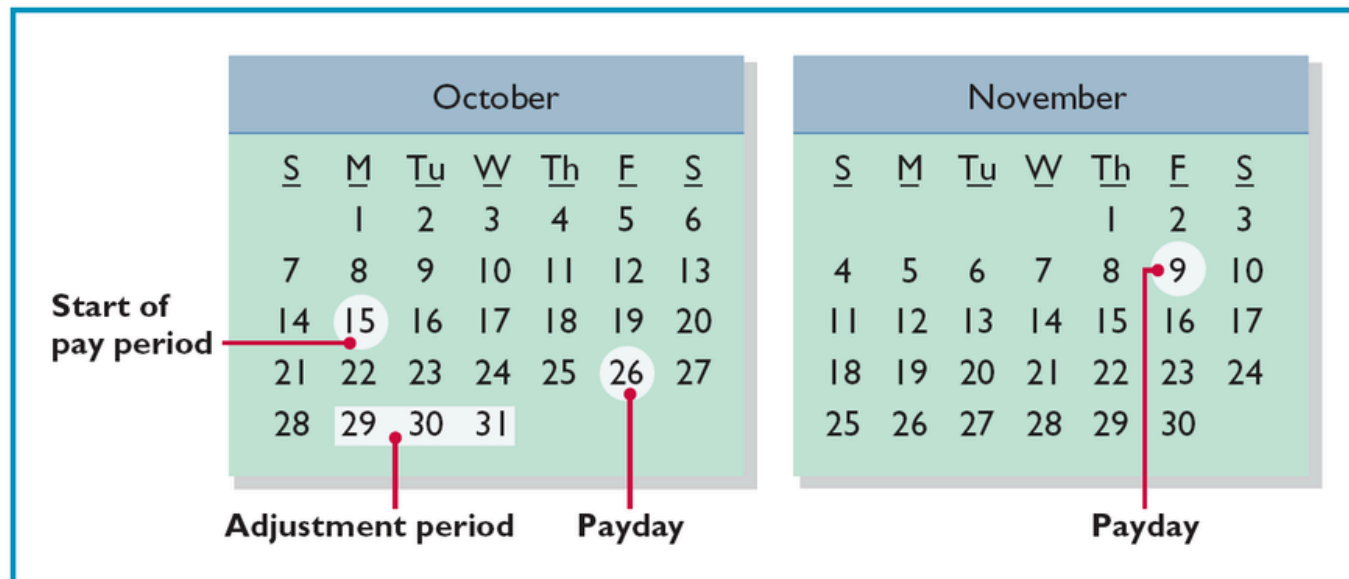
Interest Payable			230
	Oct. 31	Adj. 50	
	Oct. 31	Bal. 50	

Accrued Expenses

ACCRUED Salaries

Illustration: Pioneer Advertising paid salaries and wages on October 26; the next payment of salaries will not occur until November 9. The employees receive total salaries of \$2,000 for a five-day work week, or \$400 per day.

Illustration 3-19



Accrued Expenses

ACCRUED Salaries

By October 31 (the end of the accounting period), Pioneer owes employees for 3 days of work:

- October 29 (Mon)
- October 30 (Tue)
- October 31 (Wed)

That's 3 days × \$400/day = \$1,200.

The Adjusting Entry on October 31:

Account	Debit	Credit
Salaries and Wages Expense	\$1,200	
Salaries and Wages Payable		\$1,200

Accrued Expenses

Illustration 3-20

Basic Analysis

The expense Salaries and Wages Expense is increased \$1,200, and the liability account Salaries and Wages Payable is increased \$1,200.

Equation Analysis

$$\begin{array}{c} \text{Assets} \\ \hline \end{array} = \begin{array}{c} \text{Liabilities} \\ \hline \text{Salaries and Wages Payable} \\ +\$1,200 \end{array} + \begin{array}{c} \text{Owner's Equity} \\ \hline \text{Salaries and Wages Expense} \\ -\$1,200 \end{array}$$

Debit-Credit Analysis

Debits increase expenses: debit Salaries and Wages Expense \$1,200.
Credits increase liabilities: credit Salaries and Wages Payable \$1,200.

Journal Entry

Oct. 31	Salaries and Wages Expense Salaries and Wages Payable (To record accrued salaries and wages)	1,200	1,200
---------	--	-------	-------

Posting

Salaries and Wages Expense			726
Oct. 26		4,000	
31	Adj.	1,200	
Oct. 31	Bal.	5,200	

Salaries and Wages Payable			212
	Oct. 31	Adj.	1,200
	Oct. 31	Bal.	1,200

Actual salary expense for October

LO 3

Accrued Expenses

ACCRUED Salaries

Nov. 9	Salaries and Wages Payable	1,200	
	Salaries and Wages Expense	2,800	
	Cash		4,000
	(To record November 9 payroll)		

The journal entry is recording payment for the full 10 working days since the last paycheck on October 26.

These 10 days are:

Oct 29–31 (Mon–Wed) → 3 days × \$400 = \$1,200

→ This was already recorded as an expense in October via the adjusting entry.

Nov 1–2 (Thu–Fri) and Nov 5–9 (Mon–Fri) → 7 days × \$400 = \$2,800

Component Amount

From October (already accrued) \$1,200

From November (new expense) \$2,800

Total cash paid Nov 9 \$4,000

Accrued Expenses

Summary of the accounting for accrued expenses.

Illustration 3-21

ACCOUNTING FOR ACCRUED EXPENSES

<u>Examples</u>	<u>Reason for Adjustment</u>	<u>Accounts Before Adjustment</u>	<u>Adjusting Entry</u>
Interest, rent, salaries	Expenses have been incurred but not yet paid in cash or recorded.	Expenses understated. Liabilities understated.	Dr. Expenses Cr. Liabilities

Summary of Basic Relationships

Illustration 3-22

<u>Type of Adjustment</u>	<u>Accounts Before Adjustment</u>	<u>Adjusting Entry</u>
Prepaid expenses	Assets overstated. Expenses understated.	Dr. Expenses Cr. Assets or Contra Assets
Unearned revenues	Liabilities overstated. Revenues understated.	Dr. Liabilities Cr. Revenues
Accrued revenues	Assets understated. Revenues understated.	Dr. Assets Cr. Revenues
Accrued expenses	Expenses understated. Liabilities understated.	Dr. Expenses Cr. Liabilities

Summary of Basic Relationships

Type of Adjustment	What's Wrong Before Adjustment?	What's the Fix (Adjusting Entry)?
1. Prepaid Expenses (e.g. rent paid in advance)	You showed too much in assets and too little in expenses — because you paid early but didn't record the part you used.	Dr. Expense (to show what was used) Cr. Asset (to reduce what's left)
2. Unearned Revenues (e.g. got paid before doing the work)	You showed too much in liabilities and too little in revenues — because you got paid but haven't marked it as earned yet.	Dr. Liability (reduce what you owe) Cr. Revenue (show what you earned)
3. Accrued Revenues (e.g. work done, payment coming later)	You didn't record anything yet, so assets and revenues are too low.	Dr. Asset (e.g. accounts receivable) Cr. Revenue (show what you earned)
4. Accrued Expenses (e.g. bill used but not paid)	You haven't recorded the expense, so expenses and liabilities are too low.	Dr. Expense (to show what was used) Cr. Liability (to show what you owe)

Micro Computer Services began operations on August 1, 2017. At the end of August 2017, management prepares monthly financial statements. The following information relates to August.

1. At August 31, the company owed its employees \$800 in salaries and wages that will be paid on September 1.
2. On August 1, the company borrowed \$30,000 from a local bank on a 15-year mortgage. The annual interest rate is 10%.
3. Revenue for services performed but unrecorded for August totaled \$1,100.

Prepare the adjusting entries needed at August 31, 2017.

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Salaries and Wages Expense	800	
Salaries and Wages Payable		800

Interest Expense	250	
Interest Payable		250

Accounts Receivable	1,100	
Service Revenue		1,100

Adjusted Trial Balance

- Prepared **after all adjusting entries** are journalized and posted.
- Purpose is to **prove the equality** of debit balances and credit balances in the ledger.
- Is the **primary basis for the preparation of financial statements**.

PIONEER ADVERTISING

Illustration 3-25

Adjusted Trial Balance

October 31, 2017

	<u>Debit</u>	<u>Credit</u>
Cash	\$ 15,200	
Accounts Receivable	200	
Supplies	1,000	
Prepaid Insurance	550	
Equipment	5,000	
Accumulated Depreciation—Equipment		\$ 40
Notes Payable		5,000
Accounts Payable		2,500
Interest Payable		50
Unearned Service Revenue		800
Salaries and Wages Payable		1,200
Owner's Capital		10,000
Owner's Drawings	500	
Service Revenue		10,600
Salaries and Wages Expense	5,200	
Supplies Expense	1,500	
Rent Expense	900	
Insurance Expense	50	
Interest Expense	50	
Depreciation Expense	40	
	<u>\$30,190</u>	<u>\$30,190</u>